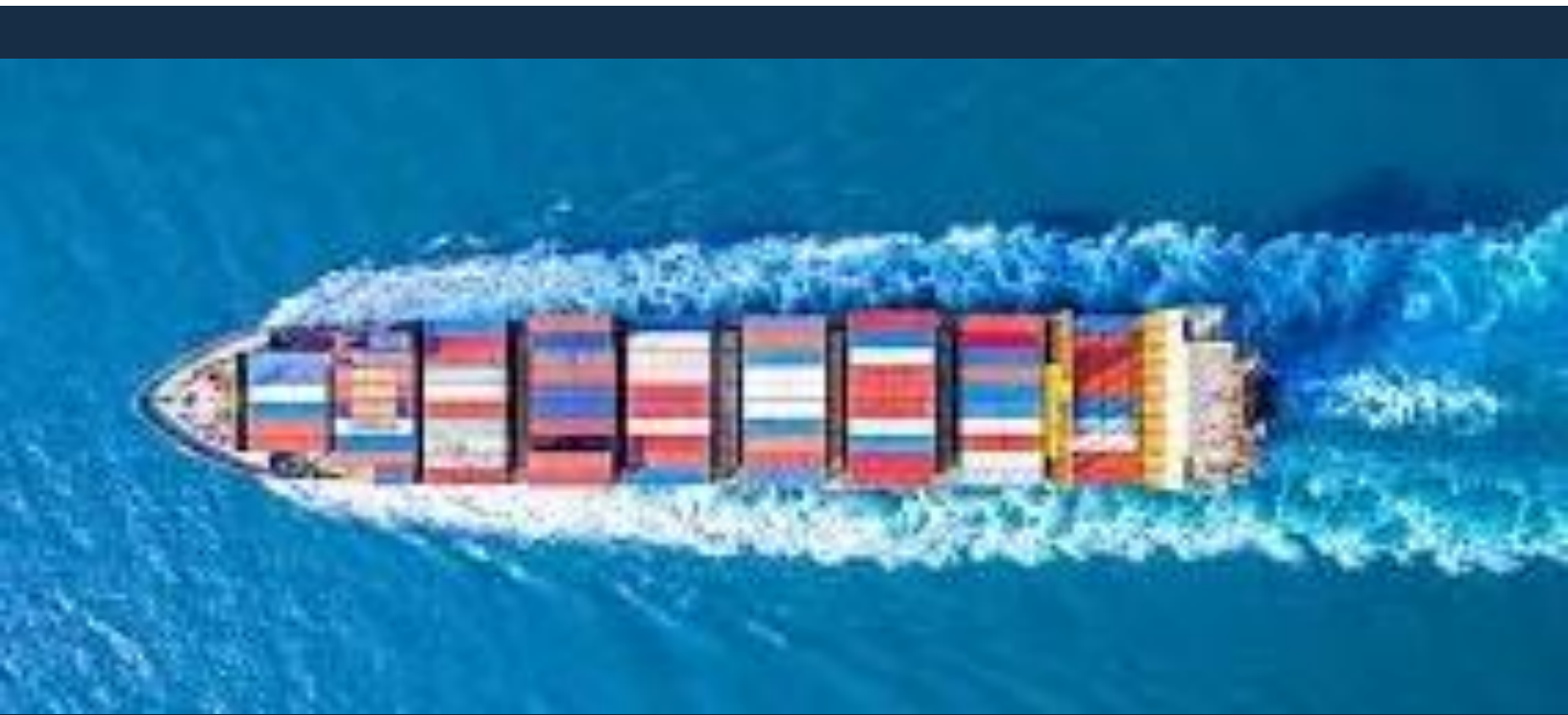




TRACING TARIFF PRESSURES:

MARKET PERFORMANCE - AN EMPIRICAL ASSESSMENT OF INDUSTRY ADAPTATION

Presented By:

Divyansh, Geethanjali, Jui & Siddharth

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1. Objective & Scope

This report analyses how U.S. companies most exposed to import tariffs disclose the financial and operational impact of those tariffs across their regulatory filings and earnings communications. The objective is to understand what information investors need, how companies provide it, and how disclosure quality differs across industries affected by tariffs in 2025.

The scope covers four major tariff-sensitive sectors: automotive OEMs¹, industrial machinery, auto suppliers, and large retailers/apparel companies. For each group, the report evaluates disclosures related to (1) cost and margin pressure, (2) pricing and demand effects, (3) sourcing and supply-chain shifts, (4) inventory and operational adjustments, (5) guidance and forward-looking assumptions, (6) category-level impacts for retailers, (7) mitigation strategies, and (8) competitive or policy uncertainty.

Overall, the report aims to provide investors and analysts with a concise, evidence-based view of how tariff-exposed companies communicate risks, respond to cost pressures, and position themselves amid an evolving U.S. trade policy environment.

2. Firm-Level Tariff Exposure: Operations, Inputs, and Business Impact

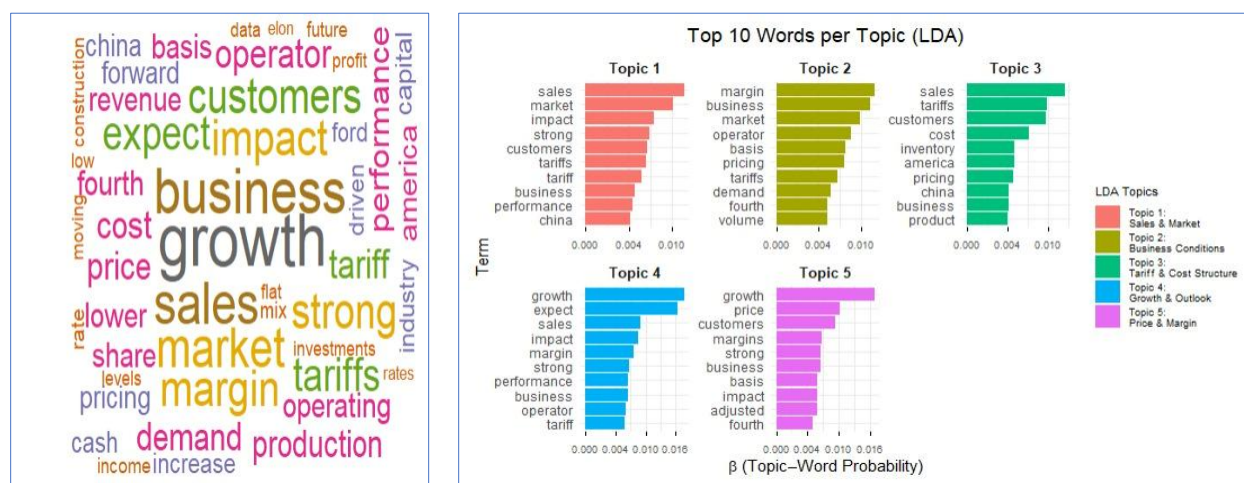
Firms	Major Business Operations	Primary Imported Inputs / Categories	Tariff Impact
General Motors (GM)	Global automaker – trucks, SUVs, EVs.	Electronics, battery cells, wiring harnesses, metal parts, drivetrains, imported sub-assemblies.	Explicit tariff cost burden; margin bridge impact; pricing/footprint mitigation; earnings sensitive to tariff outcomes.
Ford Motor Company (F)	Automotive manufacturing – Ford & Lincoln brands.	Electronics, wiring harnesses, metal parts, powertrain components.	Explicit \$2B tariff bill; pricing/pass-through; guidance shifts with tariff policy; margins sensitive to tariff changes
Stellantis (STLA)	Multi-brand automaker – Jeep, Ram, Fiat.	Imported vehicles, engines, electronics, metal assemblies, interior modules.	Significant recurring tariff cost; net tariff expense in outlook; exposure driven by tariff coverage on larger commercial vehicles.
Tesla (TSLA)	EVs, batteries, energy systems.	Battery cells, electronics, wiring, drivetrain parts.	Tariffs appear only in broad geopolitical risk; China exposure implied, not quantified.
BorgWarner (BWA)	Global automotive supplier - Propulsion systems; combustion, hybrid, EV	Turbochargers, e-motors, electronics, cast/metal parts.	Quantified tariff headwind; strong OEM pass-through; commercial recoveries; operational mitigation.
Magna International (MGA)	Automotive components & contract vehicle assembly.	Body/chassis modules, electronics, powertrain parts.	Recurring tariff headwind; OEM recoveries; footprint shifts to reduce exposure.
Caterpillar (CAT)	Construction, mining, energy equipment.	Hydraulics, engines, metal components, electronics.	Quantified tariff headwind; bps margin drag ² ; mitigated via efficiency and localization.

¹ OEM: Original Equipment Manufacturer

² Key Terms are explained in Glossary

Deere (DE)	Agricultural tractors and harvesters, turf equipment, and construction machinery	Engine parts, electronics, drivetrains, metal assemblies.	Quantified tariff cost; segment margin drag; mitigated via sourcing shifts and efficiency.
Stanley Black & Decker (SWK)	Tools, power tools, outdoor equipment.	Hand tools, power tools, fasteners, metal/tooling parts.	Quantified tariff headwind; drives pricing, nearshoring, SKU ³ cuts, and supply-chain overhaul.
Whirlpool (WHR)	Manufacturing & selling home appliances, Regional manufacturing footprint, Distribution to retailers, builders, and direct-to-consumer channels	Steel & aluminum, Compressors and electric motors, Electronic controls and wiring systems, Plastic components & polymer resins, Refrigeration systems	Tariff delays cause import spikes; Sec. 232 normalizes competition; timing distorts sell-in/sell-out.
Walmart (WMT)	Retail – grocery, general merchandise, e-commerce.	Apparel, home goods, electronics, toys, seasonal items.	Higher landed costs; selective pricing/rollbacks; mix shifts; tariff-sensitive category planning.
Target (TGT)	U.S. general merchandise retail.	Apparel, home décor, toys, electronics, seasonal goods.	Higher landed costs; selective pricing; mix shifts, assortment, and entrv-price resets due to tariffs.

3. Analyst Question Patterns on Tariff Impacts



The word cloud: This shows that analysts consistently focus on tariff-driven margin pressure, cost inflation, pricing power, and China-linked supply-chain risk. The dominance of “margin,” “tariff,” “growth,” and “cost” signals that investor attention is centered on profitability and demand resilience under tariff uncertainty.

The LDA⁴ model clusters analyst language into five coherent themes: sales momentum, margin pressure, tariff-related costs, growth expectations, and pricing strategy, demonstrating that tariff questions are embedded within broader financial narratives rather than isolated. Each topic shows how tariff concerns intersect with margins, pricing, and demand.

³ SKU: Stock keeping Unit

⁴ LDA (Latent Dirichlet Allocation) identifies hidden themes within analyst language by grouping words that frequently appear together. This helps detect systematic patterns in analyst concerns. In LDA: β = probability of a word belonging to a topic; Higher β = stronger association of that word with that topic. So, the x-axis shows how strongly each term defines that topic. The y-axis lists the top terms for that topic.

Firms	Analyst Questions	Why It Matters to Investors
General Motors (GM)	How should we think about GM's long-term tariff impact beyond 2025 (annualizing the \$5–7B run rate)? Do new U.S. manufacturing investments change GM's net tariff cost trajectory going forward?	Tariffs remain a multi-billion-dollar swing factor for GM's long-term earnings power. GM's footprint shift signals structural mitigation, improving margin visibility once tariff policies stabilize.
Ford Motor Company (F)	How is Ford planning for different outcomes in the USMCA / tariff negotiations, especially with Mexico, Japan, and Europe facing different tariff rates? What is Ford lobbying for, and how would tariff simplification affect your \$2B tariff bill?	Tariffs directly impact Ford's earnings power \$2B tariff liability = major EPS driver. Ford's lobbying success and policy clarity could create material upside, especially given its U.S. production scale and competitors' limited flexibility.
Stellantis (STLA)	What is the expected impact of heavy-duty truck tariffs starting Nov 1? How many trucks currently avoid tariffs, and will the tariff perimeter expand?	Makes tariffs a major, measurable P&L swing factor for 2025. Shows Stellantis is proactively modeling tariffs, giving investors clearer earnings visibility despite policy uncertainty.
Tesla (TSLA)	Energy Storage has the highest tariff exposure, how much margin improvement is expected once the Houston Mega-factory and U.S. LFP ⁵ cell plant come online?	Energy storage margins are currently suppressed by tariffs, so localizing cell production unlocks structural margin expansion. Highlights when Tesla's Energy business becomes a major profit driver, improving long-term earnings visibility.
BorgWarner (BWA)	Where did the \$15M tariff timing drag show up in margins? Was the impact in ICE or EV divisions, and does it affect underlying margin modeling?	Helps investors correctly model true ICE margins without tariff noise. Shows BorgWarner's ability to absorb tariff costs through operations, reducing earnings volatility.
Magna International (MGA)	How much of the Q4 seating margin ⁶ improvement comes from tariff/commercial recoveries versus underlying operational improvement? How should we think about sequential improvement given past program-specific issues?	Shows Magna is using customer recoveries to neutralize tariff pressure in one of its most exposed segments. Confirms seating margins are on a structural repair path, improving visibility for investors after years of program disruptions.
Caterpillar (CAT)	How much of the current tariff drag can be mitigated long-term, and will margins stay structurally lower? Should the Q4 tariff drag carry into 1H-2026, with improvement only in Q2–Q3?	Tariffs remain a major earnings swing factor, and CAT is signaling policy uncertainty rather than structural damage. Reinforces that CAT's 2026 margin trajectory depends on both tariff outcomes and management's ability to balance pricing and volume.
Deere (DE)	Is your goal to price specifically to cover tariff dollars, or to protect margin overall?	Demonstrates Deere's tariff strategy: focus on margin protection, not dollar-for-dollar tariff recovery.
Stanley Black & Decker (SWK)	What level of Q4 pricing should we expect from the second price increase? How does the recent 10-point reduction in China tariffs affect SWK's tariff inflation and Q4 outlook?	Pricing actions remain essential to offset landed-cost inflation, protecting margins. Rapid reduction of China sourcing shows SWK's structural tariff mitigation, limiting earnings volatility even when tariff rules shift.
Whirlpool (WHR)	How much visibility does Whirlpool have into competitor import inventory, given repeated tariff delays and shipments extending from April through Q3? How does Whirlpool assess what's sitting in ports, warehouses, or retailer channels when shipment data is lagged?	Shows tariff timing drives import surges, distorting pricing, channel inventory, and near-term demand signals. Investors get clarity that Whirlpool expects pre-load overhang to ease as Section 232 ⁷ and country-specific tariffs take hold, improving competitive dynamics in Q3+.

⁵ LFP: Lithium Iron Phosphate

⁶ Seating margins: Operating margin of the seating business after all production and tariff costs

⁷ Section 232: Is a U.S. law that permits tariffs on specific imports (e.g., steel, aluminum, appliances) if they threaten national security.

Walmart (WMT)	Are different income cohorts behaving differently under higher prices? And has tariff uncertainty affected your capital-allocation plans?	Shows resilient consumer demand across income levels despite tariff-linked price pressure, and highlights that tariff uncertainty affects Walmart's capital strategy, increasing buybacks when shares dislocate, signaling management confidence and disciplined returns.
Target (TGT)	Can you clarify whether most tariff costs are already behind you? Were these ongoing costs or one-time tariff charges?	Signals tariff cost normalization, improving visibility for margins. Reduces uncertainty in second half of the year earnings and guidance, a key investor concern.

4. Additional Evidence Confirming Analyst Tariff Concerns

Firms	Earnings Call Response	External Channels
General Motors (GM)	1. Tariff impact could decline if final tariff rates are set lower, especially under trade deals with Mexico, Canada, Korea. 2. Increasing U.S. production (2M+ vehicles) will offset a large share of remaining tariffs, though indirect/supply-chain tariffs still being worked through.	CNN News: 1. GM told CNN that tariffs cost \$1.1B in Q2 alone and expects \$4–\$5B for the year. 2. Communicated that GM will not raise car prices to cover tariff costs. 3. Reassured investors that full-year EBIT-adjusted guidance remains intact despite tariff headwinds.
Ford Motor Company (F)	1. Ford wants simplified, lower parts tariffs, as its current \$2B net tariff bill puts it at a disadvantage versus competitors; negotiations with the administration are active and productive. 2. New U.S. investments and Ford's large domestic footprint mean tariff shifts could create upside, while competitors face higher import tariffs they cannot avoid quickly.	Press Release: 1. The U.S. Department of Justice announced that Ford agreed to pay \$365 million to settle civil customs-penalty claims related to the importation and tariff classification of Transit Connect vehicles. 2. The case alleged that Ford misclassified imported vans to pay lower duties, avoiding higher tariffs applicable to passenger vehicles. 3. Ford did not admit liability, but the settlement publicly clarifies Ford's position and closes a long-running tariff-classification dispute.
Stellantis (STLA)	1. Stellantis already baked a €1.5B 2025 net tariff expense into guidance, assuming the heavy-truck tariff perimeter will fully expand. 2. Confirms the €1.5B estimate remains "high-quality" pending final executive order details.	CNN News: 1. Reported to CNN that tariffs cost €300M (~\$350M) in H1. 2. Communicated production pauses + reduced imports, explaining a 10% U.S. sales drop in Q2. 3. Clarified that tariff impacts are part of broader restructuring, not the sole cause of losses.
Tesla (TSLA)	1. Tariff impact on Energy is significant because all current storage cells are imported from China; tariff burden will remain elevated until U.S. production ramps. 2. Margin relief expected as U.S. LFP cell manufacturing (late 2025) and Houston Mega-factory (2026) reduce or eliminate tariff-related costs.	CNBC Business News: 1. CNBC reports that Tesla's Energy Storage business faces heavy tariff exposure due to reliance on China-made LFP cells and power electronics, leading to higher landed costs and margin pressure. 2. Tesla is accelerating U.S. manufacturing (Houston Mega-factory, domestic LFP cells) to reduce long-term tariff risk.
BorgWarner (BWA)	1. Most tariff costs were in the combustion (ICE) divisions - DMS and TTT⁸. 2. Strong cost controls and productivity actions offset much of the tariff headwind.	Yale Expert Research Commentary: 1. The article explains that U.S. manufacturers especially auto suppliers face significant tariff-driven input cost inflation, because they depend on imported electronics, metals, rare earths and intermediate components central to BorgWarner's business model.

⁸ ICE: Internal Combustion Engine, DMS: Drivetrain and Motor Systems, TTT: Turbo, Timing and Thermal

		2. It stresses that tariffs create supply-chain disruption, higher landed costs, and margin pressure across suppliers tied to global sourcing.
Magna International (MGA)	1. Seating margins improve mainly from tariff recoveries, since seating carries large tariff exposure; additional help from operational-excellence actions and lower engineering cost. 2. Volume will be slightly down Q/Q, but recoveries + cost actions offset this; past program issues are now behind the segment, with healthier programs arriving in 2026–27.	 News: 1. Reuters reports that Magna is implementing cost-cutting measures to cushion the impact of tariff-related cost inflation, after missing profit estimates. 2. The article notes Magna acknowledges the “tariff hit,” and these cost reductions are part of a broader strategy to offset rising landed costs due to import tariffs.
Caterpillar (CAT)	1. Too early and too uncertain to call any tariff impact “permanent”; many mitigation levers exist but depend on policy clarity. 2. 2026 outlook not provided yet; focus remains on profitable growth, managing price–volume trade-offs, and updating investors when visibility improves.	CAT Presentation: 1. Caterpillar’s Q2 2025 slide deck identifies tariffs as a significant component of manufacturing cost inflation, shown directly in margin bridges. 2. CAT embeds net tariff cost assumptions into full-year guidance, signaling tariffs remain a material headwind to gross margins and operating profit. 3. The company highlights ongoing mitigation actions: sourcing diversification, operational efficiency, and pricing discipline.
Deere (DE)	1. Goal is to protect margin through pricing, cost actions, and structural improvements, not only to offset tariff dollars.	 Business Magazine: 1. WSJ reports that Deere faces over \$500 million in tariff costs but is offsetting them through pricing, sourcing diversification, and operational efficiency. 2. WSJ also notes Deere reassured investors that tariff costs are already embedded in its segment outlook, especially Construction & Forestry and is reducing dependence on tariff-hit regions.
Stanley Black & Decker (SWK)	1. Second price increase is in progress and will be low single-digit, aligned with earlier guidance. 2. Tariff exposure unchanged; China sourcing falling to <10% by year-end, <5% by 2026, so tariff reductions have only minimal near-term impact.	 Press Release: 1. SWK’s official Q2 2025 release states that results were impacted by higher landed costs, including tariffs, freight, and input inflation. 2. Management highlights ongoing margin restoration initiatives, including sourcing shifts, operational efficiency, and SKU rationalization to manage tariff-driven pressure. 3. SWK also reinforces its multi-year supply chain transformation program designed to reduce dependency on higher-tariff geographies (especially China) and lower long-term landed costs.
Whirlpool (WHR)	1. Visibility is based on industry sell-in data, appliance import data, container-rate spikes, and observed pre-loading whenever tariffs are delayed. 2. Competitors accelerated shipments after each delay, creating elevated inventories through Q2, but Whirlpool expects normalization as China and non-China Asian tariffs fully take effect in coming months.	 Press Release: 1. Whirlpool openly acknowledges tariff pressures by stating results were delivered “while navigating the near-term unfavorable effects of tariffs” and by noting margin impact from Asian competitors’ inventory pre-loading. 2. CEO Marc Bitzer and CFO Jim Peters use scripted narrative to reassure investors, highlighting strong fundamentals, new U.S. manufacturing investments, and controllable actions like \$200M cost take-out to counter external shocks. 3. Updated EPS, margin, and cash-flow outlook provide a proactive, forward-looking view that quantifies how tariff impacts are built into future expectations.

Walmart (WMT)	1. All income cohorts growing; balanced demand. 2. Using rollbacks + opening price points to manage sensitivity. 3. Strong brand/private-label lift (better goods). 4. Tariff-driven market dislocation, increased share buybacks. 5. Continued investment in tech, AI, supply-chain automation.	Forbes Business Magazine: 1. Forbes reports that Walmart is facing “tariff whiplash” as repeated tariff changes cause unstable import costs, shifting landed-cost structures across general merchandise categories. 2. Walmart has responded by tightening vendor partnerships, accelerating inventory flow adjustments, and modifying assortment/mix to protect value perception under cost volatility. 3. The article highlights Walmart’s significant scale advantage: the company uses long-term supplier agreements, global sourcing diversification, and pricing discipline to manage tariff-driven cost spikes.
Target (TGT)	1. Majority of tariff costs were one-time, tied to order cancellations. 2. These costs hit mainly in Q2, so tariff pressure is not significant going forward.	EY Consulting Firm Perspective: 1. EY reports that tariffs are forcing major retailers to rethink sourcing, assortment, and pricing strategies, especially those importing apparel, home goods, electronics, and seasonal items, categories central to Target’s business model. 2. Tariffs amplify landed-cost volatility, requiring retailers to redesign inventory flows, promotional planning, and category architectures to protect both margin and price perception. 3. EY highlights that retailers are experiencing demand sensitivity when tariffs push up prices, making assortment planning and value-tiering critical for maintaining guest loyalty.

5. Conclusion

This report demonstrates that tariffs remain one of the most significant and measurable cost drivers for U.S. companies operating in automotive, industrial machinery, supplier, and retail sectors. Companies disclose tariff effects through cost bridges, margin commentary, sourcing decisions, and pricing actions in their 10-Ks, 10-Qs, and earnings calls. Some firms quantify the effects directly, while others embed them within broader supply-chain or geopolitical risks.

Analyst questions consistently focus on three issues: how much of inflation is tariff-driven, how much can be recovered, and how tariff uncertainty shapes margins and forward guidance. External sources; including news, consulting insights, expert's commentary and press releases confirm that sectors relying on imported electronics, metals, batteries and apparels face ongoing landed-cost volatility.

Overall, the cross-firm analysis shows that while companies differ in transparency, mitigation strategies, and communication depth, the investor takeaway is clear: tariffs remain a material and persistent force shaping profitability, demand planning, sourcing choices, and capital allocation in 2025. This report offers a holistic view of how tariff-exposed firms are adjusting operationally and financially amid a highly uncertain trade-policy environment.

6. Glossary

Bps Margin	The number of basis points (1 bps = 0.01% margin change) by which tariffs increase or decrease margins.
Supply-chain overhaul	Major redesign of sourcing, production, and logistics to cut tariff exposure.
Nearshoring	Shifting production closer to end markets to reduce tariffs.
Effective pass-through	The ability to recover tariff costs through pricing or customer negotiations.
Tariff headwind	The negative cost/margin pressure caused by tariffs.
Tariff-sensitive category planning	How a retailer plans pricing, assortment, inventory, and vendor decisions for each merchandise category.
Mix Shift	Changes in the share of sales across categories/price tiers due to tariff-driven price sensitivity.
Assortment	The product selection a retailer offers.
Seating Business	Production of complete automotive seats and their components for OEMs.

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